

DefaidX insight paper

*The Evolution of Global Defense Spending Since the
End of the Cold War (1990–2023)*

Author: Saeda Najafizada

Date: 20.04.2025

Executive Summary

Since the end of the Cold War, global defense spending has undergone profound shifts, shaped by evolving geopolitical tensions, regional rivalries, and changing security doctrines. This paper analyzes defense expenditure trends from 1990 to 2023 using global data. It highlights how military budgets have grown across major powers, how key geopolitical shocks such as 9/11, the annexation of Crimea, and the war in Ukraine have redefined priorities, and how regional and alliance-based dynamics - such as NATO and BRICS - are reshaping the distribution of global defense resources. The analysis also considers whether rising military budgets are coming at the expense of development and whether we are witnessing a renewed global arms race.

Introduction

Since the end of the Cold War, global defense spending has followed a dynamic trajectory—shaped by shifting alliances, emerging security threats, and geopolitical power realignments. While some predicted a peace dividend in the 1990s, the decades that followed instead saw a resurgence of military investment, driven by both state rivalry and asymmetric threats.

This report offers a data-driven analysis of global defense expenditure from 1990 to 2023, using harmonized figures from SIPRI and the World Bank. It uncovers long-term patterns, highlights regional and alliance-based differences, and contextualizes spending trends within major geopolitical events.

Two moments in recent history stand out as critical inflection points: the terrorist attacks of September 11, 2001, and the full-scale Russian invasion of Ukraine in 2022. The former triggered a sustained increase in U.S. and allied military budgets, marking the beginning of the so-called "Global War on Terror." The latter redefined European security priorities and led to a historic reversal of military postures across NATO countries. At the same time, emerging powers like China and India significantly expanded their military capabilities, altering the balance of global defense power. The rise of multipolarity—embodied by formations like BRICS—has intensified military modernization efforts and introduced new fault lines.

This analysis also explores the growing gap between defense and development spending, raising important policy questions about trade-offs and priorities. Are we entering a new arms race? Is military buildup crowding out social investment? And how do defense expenditures align with economic size and fiscal capacity?

By combining visual storytelling with empirical insight, this report aims to inform policymakers, researchers, and citizens about the evolving nature of global military spending - and the forces behind it.

Key Questions

- How has global defense spending evolved since the end of the Cold War?
- Which countries are the biggest military spenders today—and how much do they allocate relative to their economies?
- What regional patterns emerge across NATO, BRICS, and continents?
- How have major geopolitical events (e.g. Ukraine war) shaped national defense priorities?
- Is military spending growing faster than economies?

1. Global Defense Spending: Three Decades of Expansion

Data from SIPRI and the World Bank show that global military expenditure has more than doubled since 1990, both in absolute terms and as a share of GDP in some regions. The U.S. remains by far the largest spender, heavily shaping the overall global trend. However, the most notable spikes in global defense budgets can be traced to two major geopolitical shocks: the 9/11 attacks in 2001, which triggered a dramatic surge in U.S. and allied military spending, and the Russia–Ukraine war, which reignited security concerns across Europe and beyond. Alongside the U.S., countries like China, India, and Russia have also rapidly expanded their military budgets, contributing to the global rise. Fig 1.



Data source: SIPRI, Authors own calculations

2. Top Spenders

In 2023, global defense spending was led by a small group of countries that together accounted for the overwhelming majority of global military outlays. At the top of the list is the **United States**, which alone is responsible for roughly **40% of global military expenditure**. This dominance reflects both the scale of the U.S. economy and its global security posture, with hundreds of overseas bases, alliances across continents, and sustained investment in cutting-edge military technologies.

The **second-largest spender** is **China**, whose defense budget has grown steadily for decades, reflecting its strategic priorities in the Indo-Pacific, modernization of the People's Liberation Army, and ambitions to be a global military peer to the U.S. China's military investments are increasingly focused on naval power, cyber capabilities, and regional deterrence—particularly in relation to Taiwan and the South China Sea.

Russia, despite facing international sanctions and economic headwinds, remains one of the largest defense spenders in the world. Its spending reflects not only the ongoing war in Ukraine, but also a long-standing emphasis on defense as a central pillar of national identity and power projection. The burden of military spending on Russia's economy, however, is significantly higher than that of other major powers—raising concerns about sustainability in the long run.

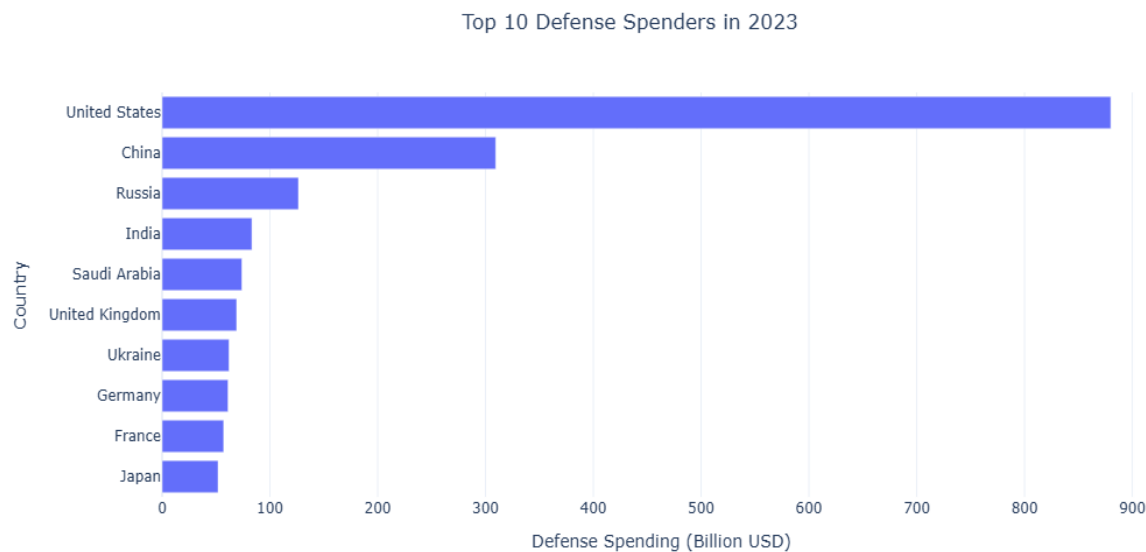
India has emerged as a consistently high-ranking defense spender, driven by regional security concerns, strategic rivalry with China and Pakistan, and its role as a leading Indo-Pacific power. Its defense budget includes significant investment in both conventional forces and strategic capabilities, such as missiles and naval expansion.

Saudi Arabia also ranks among the top five global spenders, underscoring the importance of military power to its regional strategy, internal stability, and role in counterbalancing Iran. The country's high defense-to-GDP ratio is among the most elevated globally, sustained by energy revenues and long-standing partnerships with Western defense providers.

Other countries rounding out the top ten include the **United Kingdom, Germany, France, Japan, and South Korea**—all of which have announced increases in military budgets in recent years in response to evolving security challenges.

Beyond absolute spending, looking at **defense spending as a percentage of GDP** provides a more nuanced picture of national priorities. For example, while the U.S. leads in total

dollars, countries like **Israel, Saudi Arabia, and Russia** devote a significantly larger share of their economic output to defense. This ratio highlights not only fiscal burden but also the perceived importance of security relative to domestic needs and development priorities. Fig 2.



Data source: SIPRI, Authors own calculations

While total military expenditure reveals which countries dominate global defense budgets in absolute terms, spending as a **percentage of Gross Domestic Product (GDP)** offers a different—often more politically telling—perspective. It highlights the **relative fiscal burden** that defense places on national economies and underscores the **strategic priorities or constraints** that shape these decisions.

In 2023, **Ukraine** far exceeded all other nations in military spending as a share of GDP, dedicating more than **one-third of its economic output** (over 35%) to defense. This staggering figure reflects not only wartime exigencies, but also the deep structural shift in Ukraine's economy since the onset of Russia's full-scale invasion. Virtually every sector—from public finances to industrial production and foreign aid utilization—has been reoriented toward defense, logistics, and national resilience. This scale of militarization is rare in modern economies and underscores the existential nature of the conflict.

Following Ukraine, **Lebanon, Algeria, and Saudi Arabia** each allocated disproportionately high shares of GDP to military expenditure. For **Lebanon**, this reflects internal instability and security sector centrality amidst a collapsed political economy. In **Algeria** and **Saudi Arabia**,

high defense-to-GDP ratios align with long-standing regional rivalries and assertive security doctrines, particularly in the context of North African and Middle Eastern power balances.

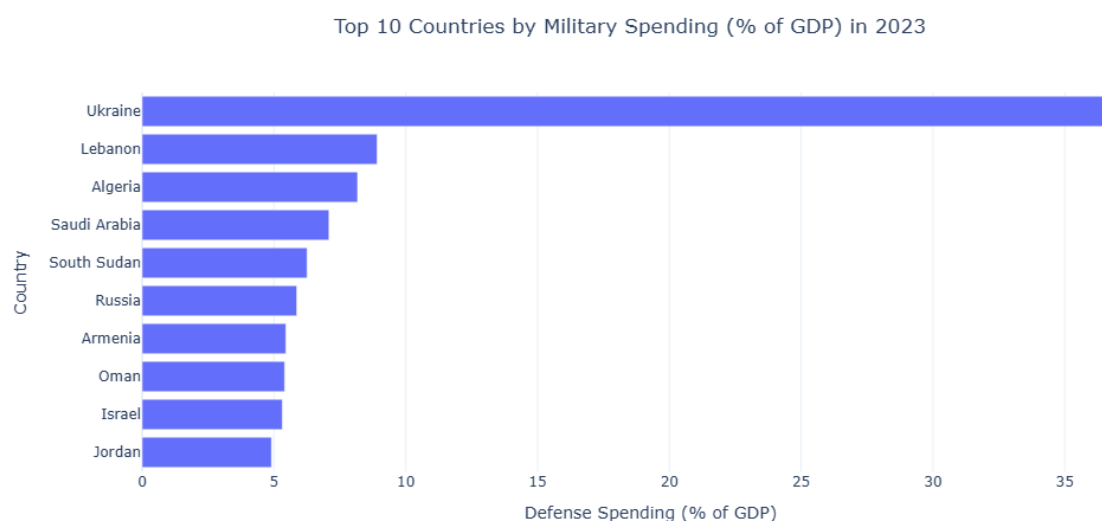
Russia continues to allocate a significant share of its national income to the military—despite facing Western sanctions and broader economic strain. Its defense spending as a share of GDP has remained persistently high, revealing the Kremlin’s strategic prioritization of military strength even under fiscal pressure.

Other countries in the top ten—**South Sudan, Armenia, Oman, Israel, and Jordan**—reflect a combination of active or recent conflicts, fragile peace, and the perceived need for strong deterrence capabilities. In the case of **Israel**, the high ratio reflects a long-standing doctrine of military readiness and compulsory service, while **Armenia’s** spike is tied to its security concerns following renewed tensions with Azerbaijan.

This chart raises **policy questions**:

- How sustainable are these levels of defense burden over time?
- What trade-offs are being made in terms of public services, investment, and development?
- And to what extent are external factors—such as foreign military aid or regional instability—driving these fiscal choices?
-

In countries where fiscal space is already constrained, high defense spending often comes at the **cost of social and economic investment**, exacerbating long-term vulnerabilities. In others, it may represent a **deliberate strategic posture**—prioritizing defense over domestic welfare in pursuit of regime security or geopolitical status. Fig.3.



Data source: SIPRI, Authors own calculations

3. Russia vs Ukraine

When comparing defense spending relative to GDP, the divergence between Russia and Ukraine is even more striking. While Russia has historically allocated around 4–5% of its GDP to defense, Ukraine’s military spending as a percentage of GDP skyrocketed after 2022—surpassing 30% in 2023. This dramatic increase reflects Ukraine’s wartime economy, where nearly a third of national output is directed toward defense, fueled by both domestic resources and international support. The scale of this mobilization underscores how deeply armed conflict can reshape national priorities and economic structures in the short term. Fig. 4.



Data source: SIPRI, Authors own calculations

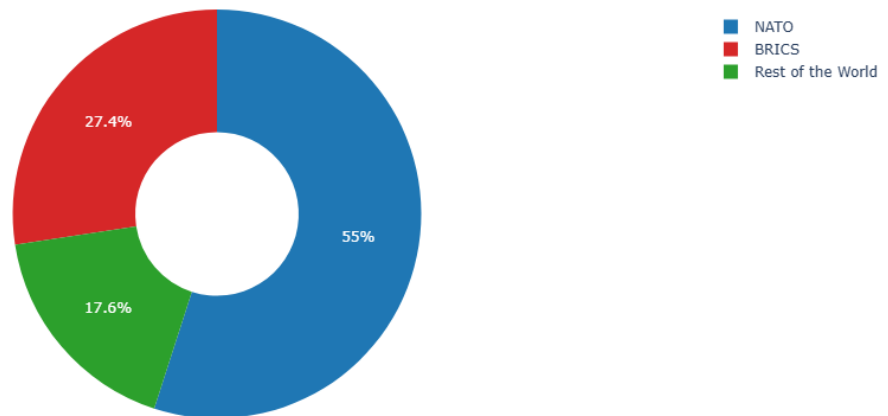
4. NATO vs BRICS vs Others: Share of Global Defense Spending (2023)

NATO countries accounted for the majority of global military expenditure, contributing over 54% of total defense spending. This reflects the continued dominance of Western military alliances, particularly due to the large budgets of the United States and key European members.

Meanwhile, BRICS countries (Brazil, Russia, India, China, South Africa, and newly joined members such as Iran and Saudi Arabia) represented around 27% of global defense spending. This growing share signals their increasing strategic and military assertiveness on the world stage.

The rest of the world, comprising all non-NATO and non-BRICS countries, made up approximately 18% of total defense expenditure in 2023. The pie chart below breaks down the share of global defense spending in 2023 among NATO countries, BRICS countries, and the rest of the world. Fig.5.

Share of Global Defense Spending (2023): NATO vs BRICS vs Rest



Data source: SIPRI, Authors own calculations

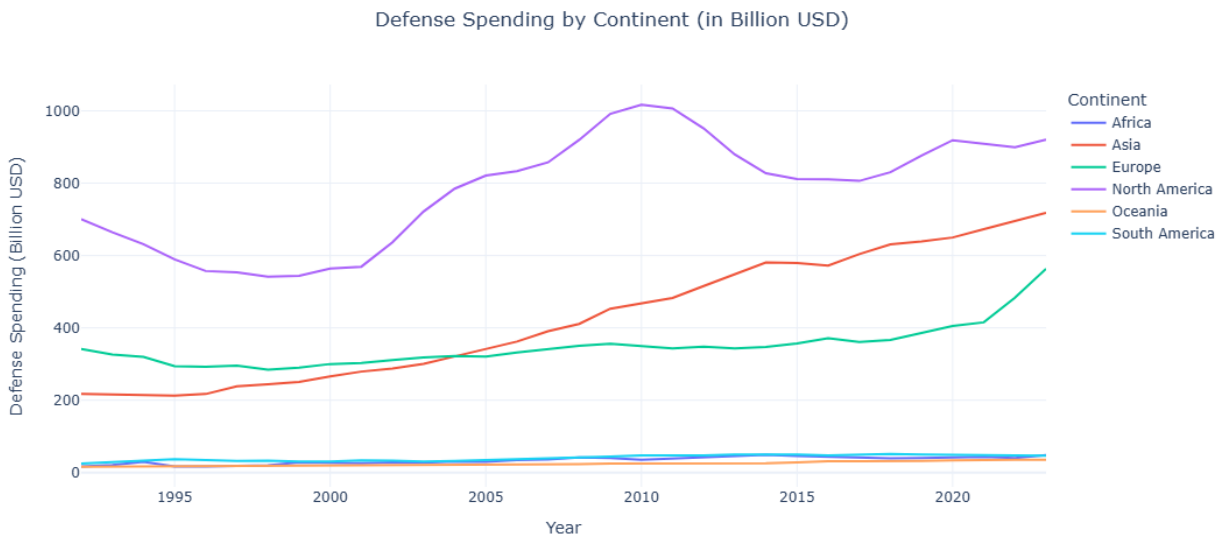
5. Defense Spending by Region: Long-Term Trends

Regional patterns in defense spending highlight both historical disparities and evolving priorities. North America has consistently remained the highest-spending region, driven primarily by the United States. After a period of decline in the 1990s, spending picked up again post-2001 and peaked around 2010–2012, before stabilizing at a high level.

Asia shows a steady and significant increase, reflecting the rising defense budgets of China, India, and other regional powers. This upward trajectory signals Asia's growing role in the global security landscape.

Europe's military spending remained relatively flat until the mid-2010s but has shown a renewed upward trend in recent years—especially following the annexation of Crimea in 2014 and the full-scale war in Ukraine in 2022. Africa, South America, and Oceania represent the smallest shares in global defense budgets. While their spending remains comparatively modest, some fluctuations are visible, particularly in Africa and South America.

These regional patterns emphasize the geopolitical rebalancing occurring in global security, where the concentration of defense investment is not only a reflection of power but also of perceived threat and ambition. Fig 6.



Data source: SIPRI, Authors own calculations

6. Conclusion

Over the past three decades, defense spending has not only increased in absolute terms but has also shifted in its distribution and focus. The United States remains the dominant spender, but emerging powers like China, India, and regional coalitions such as BRICS have significantly increased their footprint. NATO continues to account for over half of global defense expenditure, reflecting both longstanding security commitments and recent conflict-driven escalations. Geopolitical shocks have clearly left their mark—Russia’s military budget surged after 2014 and again post-2022, while Ukraine’s defense allocation now comprises over a third of its GDP. These changes underscore a global environment where security concerns increasingly override fiscal restraint.

At the same time, the concentration of military spending among a few countries and regions raises critical questions about global priorities, equity, and the opportunity cost for development. As governments worldwide navigate between security and sustainability, understanding these defense trends is crucial for shaping balanced policy choices in the years ahead.⁴ The Aid vs. Arms Dilemma.